EXECUTIVE SUMMARY

A. Introduction

1. Agency Profile

Tuao is a 1st class municipality situated in the western part of Cagayan Valley called the Itawes Region, is composed of 32 barangays. The Municipality which is under the third Congressional District of Cagayan has a population of 57,154 people according to the 2007 National Statistics Office census. The recorded history of Tuao began in 1604 when founded by the Spanish Civil Government.

For CY 2015, the Municipality of Tuao had a total of 396 personnel complement, consisting of 50 permanent, 11 elective, 2 temporary, 1 co-terminus, 21 casual, 10 consultants, 11 contract of service and 290 job order status.

2. Scope of Audit

The audit covered the accounts and operations of the Municipality of Tuao, Cagayan for CY2015 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2015 with comparative figures for CY 2014, are as follows:

	2015	2014	Increase (Decrease)
Financial Position			
Total Assets	₱ 257,517,576.85	₱259,775,378.07	(P2,257,801.22)
Total Liabilities	34,514,884.32	40,436,812.30	(5,921,927.98)
Total Government Equity	223,002,692.53	219,338,565.77	3,664,126.76
Financial Performance			
Total Income	139,215,942.71	118,321.925.45	20,894,017.26
Total Expenses	123,980,185.67	106,834,233.26	17,145,952.41
Appropriations, Allotments and Obligations			
Total Appropriations	140,035,481.78	123,930,871.62	16,104,610.16
Total Obligations	111,943,291.96	102,338,607.82	9,604,684.14

The Municipality received fund transfers from other agencies totaling ₱22,681,625.00 and no funds were transferred to other agencies during the year, with comparative figures for CY 2014, to wit:

	2015	2014	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	₱22,681,625.00	₱ 15,051,768.70	₱ 7,629,856.30
Local Government Units	-		
Non-Government Organizations/Peoples Organizations (NGOs/POs)	-		
Others	-	4,397,365.00	(4,397,365.00)
Total	**22,681,625.00**	**₱ 19,449,133.70**	**₱ 3,232,491.30**
Funds Transferred to:			
NGAs	-		
Local Government Units	-		
NGOs/POs	-	60,000.00	(60,000.00)
Others	-		
Total	**₱ -**	**₱ 60,000.00**	**(₱ 60,000.00)**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Tuao for the year-ended December 31, 2015 due to the effects of inadequate accounting and property records to support the balance of the recorded Property, Plant and Equipment (PPE) account totaling P178,650,453.85. Consequently, the related accumulated depreciation expenses for years 2015, 2013 and prior years were not recognized in the books on all depreciable properties.

Due to inadequacy of records and documents and non-recognition of accumulated depreciation expenses for 2015, 2013 and prior years, the carrying value of properties as at December 31, 2015 was not satisfactorily ascertained.

D. Summary of Significant Observations and Recommendations

1. The documentary and procedural requirements of the Procurement Law were not strictly followed by Management hence incomplete bidding documents were submitted for various projects totaling P8,206,240.20.

We recommended that Management submit the identified lacking documents to support the public bidding conducted and strictly observe the documentary and procedural requirements of the procurement law.

2. On-going projects in the aggregate contract amount of P13,336,661.23 exceeded their contract period. Appropriate penalties and legal sanctions were not imposed.

   We recommended that Management closely monitor the completion of projects; appropriate administrative sanctions should be initiated against erring contractors who incur unwarranted slippages and those who fail to comply with the terms and stipulations of the contract.

3. Cash advances for Payroll were not equal to the net amount of the payroll for a given pay period, instead the cash advances granted were more than the actual payroll. Also, the unused amounts of cash advances were not returned or refunded immediately allowing the accountable officer to maintain significant amount of cash on hand during the year.

   We recommended that Management strictly follow the rules in granting and liquidation of cash advance for salaries and wages as prescribed in COA Circular No. 97-002 dated February 10, 1997.

E. Status of Implementation of Prior Years' Audit Recommendations

Out of the 29 audit recommendations embodied in the 2014 Annual Audit Report, nine were implemented, 15 were partially implemented and five were not implemented.